

SAIL — Salem Steel Plant

ENQUIRY PROPOSAL NOTE

Initiator: M.N. THANIYARASU (PNo: D001022, GM(SMS-OPN))

Department: HQ/SMS OPERATION/SMS OPERATION

Ref: SMS/25/002 **Date:** 11/04/2025

Subject: Purchase Requisition for procurement of 'MS SCRAP - SHREDDED' against Indent Ref. No. SMS/25/002

Background of the Proposal [EXTRACTED FROM YOUR FILE]

i)	Indenter	M.N. THANIYARASU, GM (SMS-O)
ii)	Indent Ref No & Date	SMS/25/002 dated 11/04/2025
iii)	Description of the Item	MS SCRAP - SHREDDED NON-CRITICAL / EXISTING ITEM / CENVAT / NON-IPSS
iv)	Material Code	135010000304
v)	Quantity	31000 MT
vi)	Estimated Cost	Rs. 1,32,27,32,800/- (Landed Cost Basis including GST)
vii)	Delivery Period	12 Months
viii)	EMD	Not specified in the document
ix)	Distribution of Order	Order shall be placed on maximum three parties
x)	Security Deposit	Security Deposit shall be obtained from supplier
xi)	Price Discovery	Multiple price discoveries (Reverse Auction) through EPS (M-junction) on OTE basis
xii)	Mode of Tender	OTE through EPS (M-JUNCTION)
xiii)	Approving Authority	RAVI CHANDER DV, CGM(MAINT, Steel & Proj) / PRABIR KUMAR SARKAR, Executive Director

1. Last 3 years actual consumption, current stock, and pending supply details for MS-Shredded Scrap: Stock at SSP as on 11.04.25 is 2494 MT, pending supply is 281 MT, total stock 2775 MT.

Fin Year	Consumption of MS-Shredded Scrap (MT)	Slab Production (MT)	No of Converters	Specific Consumption (MT/ converter)
2022-23	24477	140050	23	1064
2023-24	25249	152493	24	1052
2024-25	32248	145891	24	1344
Average				1153

2. Annual Requirement & Buffer Stock for FY 2025-26:

Item	Annual requirement (MT)	Buffer stock (MT)	Total (MT)
Shredded scrap: 30 % of annual MS Scrap requirement	25934	5403	31337
HMS scrap: 10 % of annual MS Scrap requirement	8645	1800	10446
Bundle scrap: 60 % of annual MS Scrap requirement	51869	10805	62675

3. Justification for procurement of MS-Shredded Scrap based on ABP FY 2025-26:

Sl. No.	Description	Value
1	Annual requirement of MS Scrap for production of 1,80,000 MT as per ABP for FY 2025-26	86,448 MT
2	Annual requirement of MS-Shredded scrap @ 30% of total MS-scrap	25934 MT
3	Average monthly requirement considering production of 15000 MT per month	2161 MT
4	Average MS-Shredded scrap requirement per converter	1080 MT
5	Stock of MS-Shredded scrap (MS Light Scrap) as on 11.04.25*	2494 MT
6	Pending supply of MS-Shredded scrap as on 11.04.25*	281 MT
7	Quantity of MS-Shredded scrap pending for procurement vide indent no.: SMS/24/033	1000 MT
8	Stock, pending supply against existing order (Sl. 5 + 6 + 7)	3775 MT
9	Sufficiency of MS-Shredded scrap considering stock & pending supply	1.75 months i.e. up to May'25
10	Projected requirement of MS-Shredded scrap from Jun'25 to May'26	25934 MT
11	Quantity required as safety stock i.e. 5 converters requirement	5400 MT
12	Net requirement, rounded off value (Sl. 10 + 11)	31000 MT

4. Task Force Committee Recommendations for Scrap Items FY 2025-26:

Sl.	Material code	Item name	Requirement as per ABP + Safety Stock	Total Recommended (MT)
1	135010000304	MS Scrap - Shredded	31337	31000
2	135010000303	MS Scrap - Bundles	62675	60000
3	135010000305	MS Scrap - HMS-1	10446	9000
4	135010000312	SS Scrap - 300 series	21746	21000
5	135010000344	SS Scrap - 409 Grade	24605	23000
6	135010000347	SS Scrap - 200 series	13638	12000

5. Basis of Estimated Value & Landed Cost: (LPP vide AT ref no. A412032/F1,F2,F3 dated 24.03.2025)

Sl.	Description	Unit	Value
1	Landed cost per MT excluding GST	Rs/MT	36,160
2	GST @ 18%	Rs	6,509
3	Landed cost per MT including GST	Rs/MT	42,669
4	Quantity	MT	31000
5	Total estimated value including GST	Rs	1,32,27,32,800
6	Total estimated value excluding GST	Rs	1,12,09,60,000

Proposals & Approval Sought:

- To issue Open Tender Enquiry (OTE) through EPS (M-junction) for procurement of 31,000 MT of MS Scrap - Shredded (Material Code: 135010000304).
- To approve total estimated value of Rs. 1,32,27,32,800/- based on Landed Cost of Rs. 42,669/- per MT including 18% GST.
- Delivery terms F.O.R. Salem Steel Plant with delivery schedule starting within 10 days.
- Approving Authority: RAVI CHANDER DV, CGM(MAINT, Steel & Proj) / PRABIR KUMAR SARKAR, Executive Director.
- Approval is sought for issuance of OTE through EPS (M-junction) against Purchase Requisition A612002 / Indent Ref. SMS/25/002.